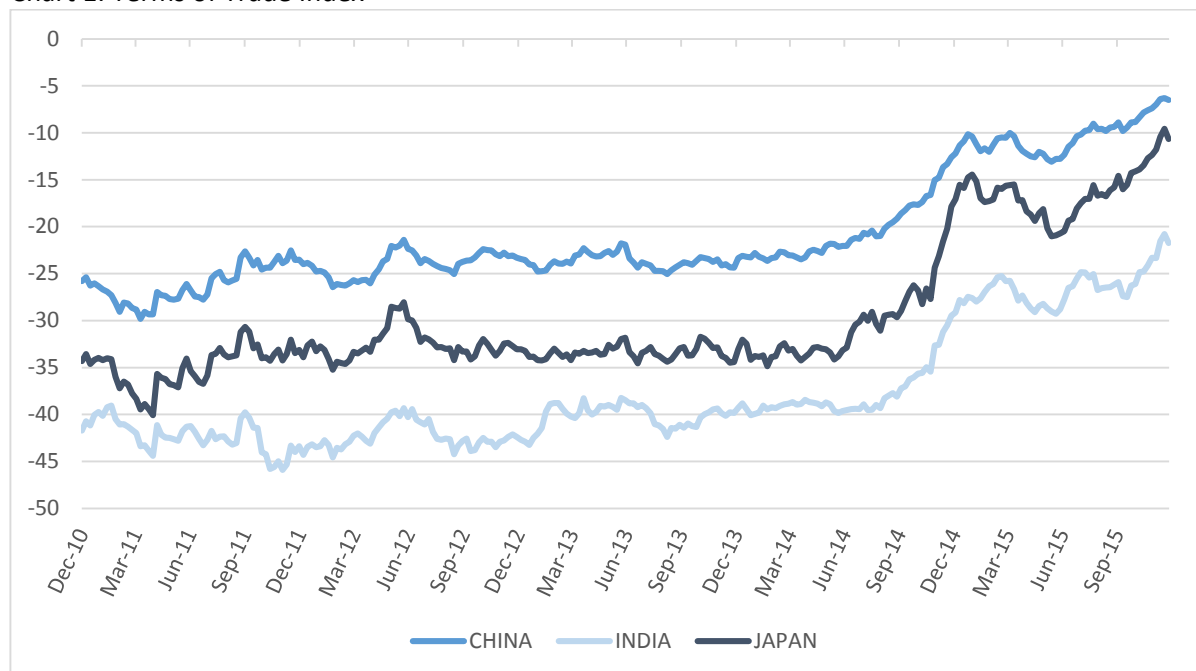


Horizon Asia Opportunity
Q4 2015 Commentary
January 2016

During the fourth quarter of 2015, the Horizon Asia Opportunity Composite (the “Strategy”) returned 4.6%, net of fees, underperforming the MSCI All Countries Asia Index (the “Index”), which appreciated 6.5% over the same period. *Consumer* names, especially *Internet* stocks, in Japan, and *Hospitality and Entertainment* providers in Southeast Asia contributed positively to returns. Positions in Indian *Media* companies and Chinese *Health Care* companies detracted from our performance. A higher than the normal cash level also detracted from performance. In 2015, the Strategy gained 8.6%, net of fees, as compared to a decline of 0.7% for the Index.

In the fourth quarter of 2015, the Asian equity markets staged a recovery rally following a China-induced sell-off in the third quarter. During the fourth quarter, the US Federal Reserve Bank (FRB) finally raised interest rates, for the first time since the Global Financial Crisis (2008), and the global stock markets digested this news with ease. The European Central Bank (ECB) and Peoples Bank of China (PBOC) also took some easing measures, which helped the global equity markets. Commodity prices were under severe pressure, but, in general, lower commodity prices are major positive factors for the Asian countries in aggregate. China, India and Japan are major beneficiaries of lower commodity prices (see Chart 1 below). We have not seen any major dislocation yet in the global credit markets, but currencies in emerging countries were under downward pressure as capital flight from these countries mounted; the Asian emerging countries were no exceptions.

Chart 1: Terms of Trade Index



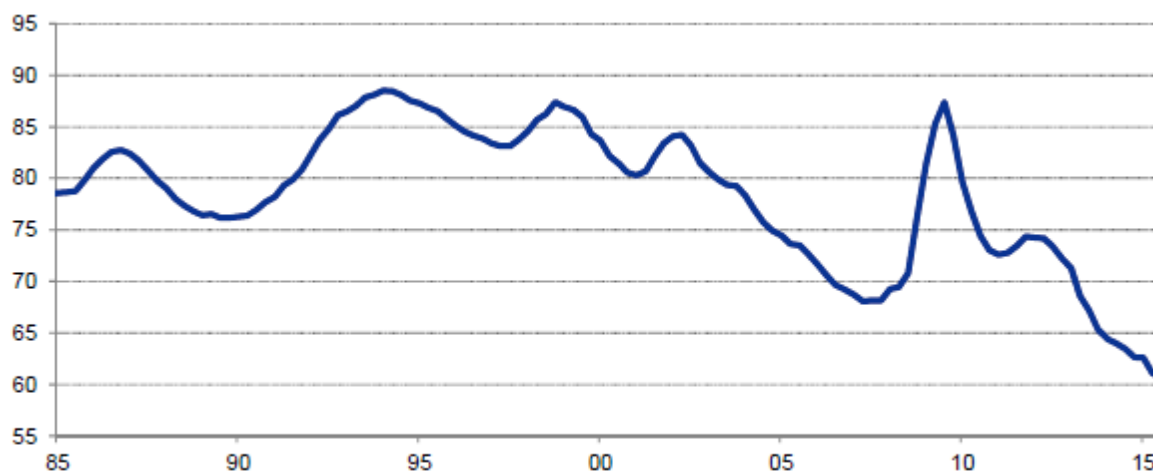
Source: Bloomberg

Notes: Citi Terms of Trade Index: CTOTCNY Index for China, CTOTINR Index for India, and CTOTJPY Index for Japan

Japan is at a critical juncture with respect to monetary policy. During the last Bank of Japan meeting, Governor Kuroda decided to keep the status quo in its monetary policy, which was disappointing to the markets. It is increasingly clear that the effectiveness of quantitative easing (QE) is reaching its limits. QE has been a very effective tool to increase asset prices, and therefore to avoid a deflationary spiral. However, its positive impact on real economic activity have been limited. Japan has a long list of structural problems, such as an aging and declining population and a very rigid labor market. Without solving these serious long term issues, QE alone cannot return the Japanese economy to a higher and sustainable growth potential. As a result, we expect more growth oriented policy initiatives, such as corporate tax cuts and postponement of further consumption tax increases from the Abe government in the coming months.

The most positive developments in Japan in 2015 were corporate governance improvements that resulted in better financial returns. The Japanese corporations have been reducing costs and buying back their stocks with excess cash they have accumulated (see Charts 2 and 3). We also expect further corporate tax cuts to improve Japanese corporate competitiveness. A weaker yen, which helped improve corporate profitability over the past 2 years, has run its course. Going forward, we do not expect it to be a major positive factor in generating profit growth for Japanese corporations. As a result, the above-mentioned self-help measures will be increasingly important to the earnings growth.

Chart 2: The breakeven point ratio has come down:



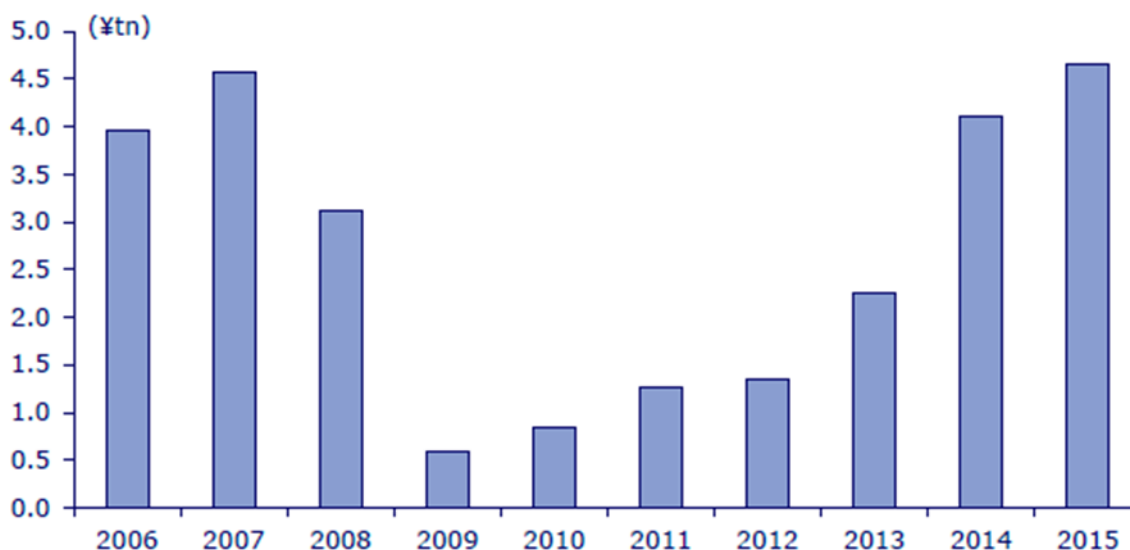
Source: MOF.

Source: Goldman Sachs, Ministry of Finance of Japan

Breakeven point ratio: $(\text{breakeven point}/\text{sales}) \times 100$. Breakeven point = $\text{fixed costs} / (1 - (\text{variable costs}/\text{sales}))$. Fixed costs = Labor costs + depreciation expenses + interest paid. Variable costs = Sales-recurring profits – fixed costs.

Notes: Firms capitalized in excess of JPY 1 billion, excluding financials, as of Sept 2015.

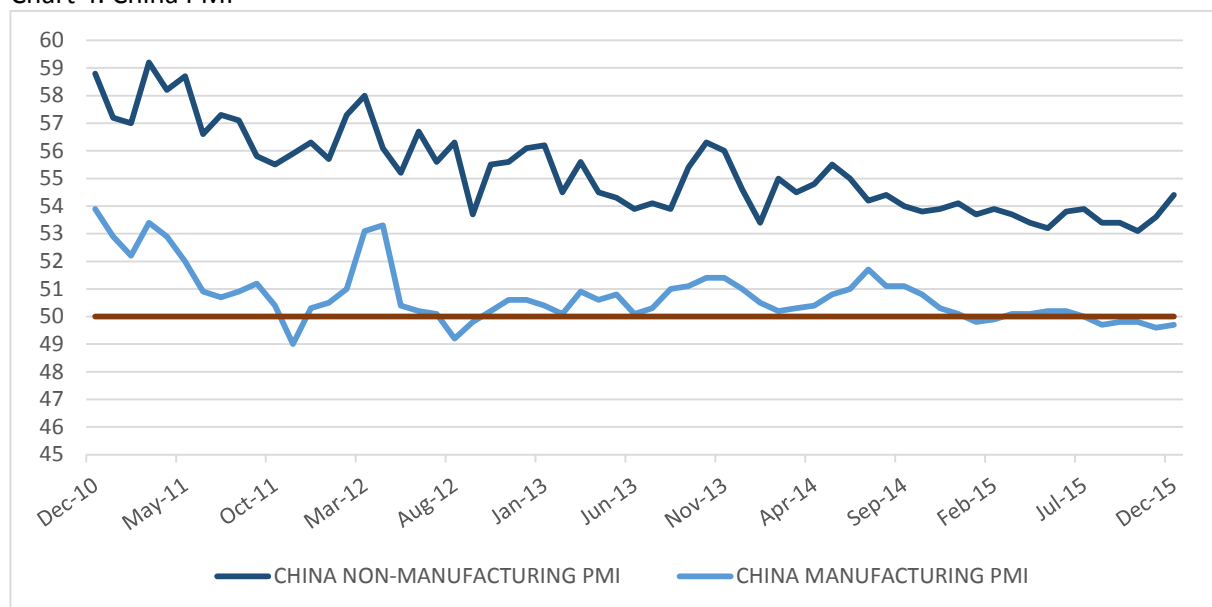
Chart 3: Japan Share Buyback Announcements



Source: CLSA, Bloomberg

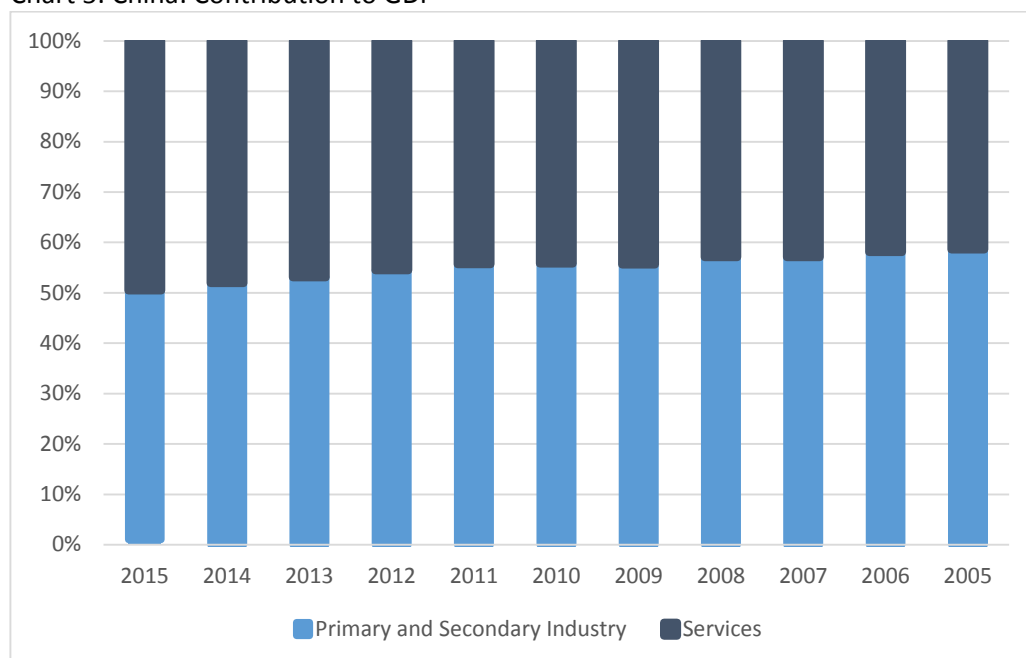
China continued to be a major concern for Asian and global investors in the fourth quarter. There are two “Chinas”: 1) “Old China,” with a focus on the *Commodities, Manufacturing* and *Exports* sectors, which produced negative growth and returns, and 2) “New China” with *Technology, Health Care* and other service industries that produce consistent, double-digit growth with very high profit margins. One can see this divergent trend in Purchasing Manager Index (PMI) statistics (see charts 4 and 5). In a very delicate balancing act, the Chinese government had to make some tough choices. An especially thorny issue has been how to rationalize bloated state owned enterprises (SOEs). This requires letting go many employees of these big firms and, in turn, risks creating social upheaval and uncertainty. This action is absolutely necessary to reduce overcapacity in many basic industries but so far the Chinese leadership has not begun executing this process yet. Without this type of reform, the long-term potential growth rate of the Chinese economy will be limited, as misallocation of capital will continue. As long as this rebalancing is taking place, we expect Chinese economic growth to be under further pressure. The key question is how slowly the Chinese government will let the economy grow before they resort to some fiscal stimulus to reverse the slowdown. We believe the key factor they are watching is social stability. The Chinese Communist Party does not want to give up its reign, and no one there wants to be a Gorbachev of China.

Chart 4: China PMI



Source: Bloomberg

Chart 5: China: Contribution to GDP



Sources: National Bureau of Statistics of China

One important negative development that we want to point out is the fact that the government of China has been increasing its control over and pressure on the private sector, as seen in its detention of some key private entrepreneurs during the fourth quarter, in the name of asking them to aid investigations of corrupt public officials. The government has also banned certain foreign financial institutions from operating in the Chinese Yuan FX markets. It is becoming increasingly difficult for any financial institutions, Chinese or foreign, to operate freely in the Chinese financial markets. This is opposite to their initial pledge a few years ago; in fact, the opaqueness of the financial markets has deepened. It is becoming very clear that there is very little difference between SOEs and the private companies as far as the Chinese government is concerned. This should increase the general investment risk level for investors in the Chinese financial markets.

Secondly, we have seen increased capital flight from China, totaling \$400 billion in the fourth quarter, and the Chinese Yuan has weakened by approximately 5% from its peak last spring. The Chinese government spent approximately \$200 billion to defend the Yuan in the fourth quarter. Even though China's foreign currency reserve stands at \$3.3 trillion, going forward, it is important to monitor the above developments carefully. We do not want to see the Chinese government lose control over these issues, which could result in an economic hard landing.

Despite a challenging macroeconomic backdrop, our owner-operator companies continue to outperform our benchmark index. We strongly believe that their inherent advantages will be even more evident in an ongoing difficult economic environment. Owner-operators are likely to take advantage of any dislocations to make astute investments and capital allocation decisions to create future shareholder value. We are still holding a higher than usual cash position at this juncture. We believe that we'll be able to deploy this capital wisely sometime in 2016, as the market turmoil should provide ample investment opportunities for patient investors. We continue to focus our efforts on researching companies in the Asian countries which meet our investment criteria.

A short summary of a few companies among our 10 largest positions as of the end of December 2015 follows:

Kakaku.com Inc (2371 JP) Market Cap: USD 4bn Price: JPY 2160 P/E: 30.5x (3/2017) Div Yield: 1.10%	Kakaku.com Inc (Kakaku) operates two unrivaled websites in Japan, Kakaku.com and Tabelog.com. Launched in 1998, Kakaku.com provides price comparisons for consumer electronics, PCs, apparel, consumer staples and various services such as auto insurance and broadband access. The website now has over 47 million monthly unique users and has become the go-to place to purchase PCs and consumer electronics. Tabelog.com is the most accessed restaurant website in Japan, with over 68 million monthly unique users and offers restaurant search, ratings, and reviews. The growing number of the paying users and restaurants for Tabelog.com services has been the earnings driver for the company. Tabelog.com will launch a new service including an on-line reservation system for restaurants.
Internet Initiative Japan (3774 JP) Market Cap: USD 0.87bn Price: JPY 2187 P/E: 20.2x (3/2017) Div Yield: 1.20%	Internet Initiative Japan (IIJ), founded by the Chairman and CEO Koichi Suzuki, is the first internet connection service provider in Japan. Leveraging its technological expertise in internet connection services, the company builds and maintains reliable network systems for corporate and government entities, and provides value-added outsourcing services, including cloud computing. Backed by the traditional in-house , in-sourcing business culture in Japan, the corporations long delayed investing and upgrading their network system; however, outsourcing the maintenance of the secure and reliable network to specialists is becoming inevitable as internet technology advances, and IIJ has finally seen demand rising. The rollout of the national identification number, which requires a higher level of security and data management, is also encouraging the outsourcing trend in Japan.
HIS Co Ltd (9603 JP) Market Cap: USD 2.2bn Price: JPY 3705 P/E: 15.8x (10/2017) Div Yield: 0.70%	HIS Co Ltd is the second largest international travel agency and theme park operator in Japan. The chairman Hideo Sawada founded the company as a travel agency specialized in international flight tickets in 1980 and expanded the service to include domestic flight and travel tour packages. The company also set up travel agencies overseas, especially in Asia, as the chairman expected that travel demand would take off as the Asia consumer spending increased. The company also invested in a theme park called Huis Ten Bosch, which suffered 18 years of operating losses following its opening in 1992, and successfully turned the business profitable within the first six months of their operation. The company is the beneficiary of growing tourism in Asia and Japan.
Pola Orbis Holdings Inc (4927 JP) Market Cap: USD 0.4bn Price: JPY 7140 P/E: 25x (12/2017) Div Yield: 2.80%	Pola Orbis Holdings Inc is a leading beauty care provider in Japan. The two core brands include Pola, a prestige skincare brand primarily sold directly to customers via individual counseling customers, and Orbis, which is a skincare line available for mail-order purchase. The company has been expanding sales through the introduction of new products, especially in the field of anti-aging and skin whitening. These are areas where the company believes demand should expand in Asia and in the mature cosmetic market in Japan. Pola Orbis is actively changing its distribution channels to match consumer needs. The company's beauty care portfolio also includes Jurlique and h2o+, reflecting its intent to accelerate its overseas expansion. The company, owned and run by the owner-operator Satoshi Suzuki, is determined to increase its operating margin to the industry's top level of near 15% and improve shareholder return by 2020.

DISCLOSURES

Past performance is not indicative of future returns. This information should not be used as a general guide to investing or as a source of any specific investment recommendations, and makes no implied or expressed recommendations concerning the manner in which an account should or would be handled, as appropriate investment strategies depend upon specific investment guidelines and objectives. This is not an offer to sell or a solicitation to invest.

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The MSCI All Countries Asia Index captures large and mid-cap companies represented across 3 Developed Markets countries and 8 Emerging Markets countries in Asia. With 930 constituents, the index covers approximately 85% of the free float-adjusted market capitalization in each country.

Returns have not been independently verified and are subject to change. Note that indices are unmanaged, and the figures shown herein do not reflect any investment management fee or transaction costs. Investors cannot directly invest in an index. References to market or composite indices, benchmarks or other measures of relative market performance (a "Benchmark") over a specific period are provided for your information only. Reference to a Benchmark may not reflect the manner in which a portfolio is constructed in relation to expected or achieved returns, portfolio guidelines, correlation, concentrations, volatility, or tracking error targets, all of which are subject to change over time. The strategy is a total return strategy, and the benchmark is provided for illustrative purposes only. It is not our intention to state, indicate or imply in any manner that our future results will be profitable or equal past results.

Horizon Kinetics LLC is the parent company to several US-registered investment advisers, including Horizon Asset Management LLC ("Horizon") and Kinetics Asset Management LLC ("Kinetics"). Horizon and Kinetics manage separate accounts and pooled products that may hold certain of the securities mentioned herein. Horizon Asset Management is the investment manager to the strategy referenced herein. For more information on Horizon Kinetics, you may visit our website at www.horizonkinetics.com.

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Asia Opportunity - Institutional Composite

As of 12/31/2015



Investment Approach

- The strategy seeks long term capital appreciation by investing in undervalued stocks in Asia.
- Our investment process involves bottom-up, fundamental research to identify mispriced securities. We conduct face to face meetings with managements and competitors as well as analysis of business models and balance sheets. The strategy emphasizes management quality, with a preference for owner-operator companies.
- Returns are often generated by identifying businesses that cater to local economies, e.g. infrastructure, consumer, financial services, etc. Although the majority of the holdings are equities, the portfolio may invest in other parts of the capital structure when the research process identifies unique opportunities.

Portfolio Construction

- The strategy generally seeks to avoid significant portfolio turnover which has historically averaged 20 to 25% per annum.
- Portfolio typically invests in 30 to 40 securities and position sizes generally range from 0.5% to 10.0%
- The portfolio seeks to manage co-dependency across business models and does not measure risk versus a specific benchmark.

Investment Time Horizon:
5+ Years

Representative Benchmark:
MSCI All Country Asia

Asset Under Management:

Horizon Kinetics (\$bln) 7.1

Horizon Institutional (\$bln) 2.7

Inception Date:
January 2008

Portfolio Manager:
Murray Stahl
38 yrs investment experience

Aya Weissman
33 yrs investment experience

(1) Horizon Kinetics LLC is the parent company to Horizon Asset Management LLC, Kinetics Asset Management LLC, and Kinetics Advisers, LLC, each of which is an SEC-registered investment adviser.
(2) Horizon Institutional is defined as the traditional, long only separate accounts and private investment fund assets managed by Horizon Asset Management LLC. Horizon Institutional excludes separately managed, non-direct accounts and other accounts that either are serviced by wrap/dual contract sponsors or utilize a wrap or bundled fee structure. Please refer to Important Disclosures on the following page.

Performance Statistics	MTD	QTD	YTD	1 Yr	3 Yrs	5 Yrs	ITD
Total Return (gross)	-1.0	4.9	9.6	9.6	11.4	8.9	9.1
Total Return (net)	-1.1	4.6	8.5	8.5	10.3	7.9	8.0
MSCI All Asia NR	-0.1	6.5	-0.7	-0.7	4.2	2.0	0.2
Excess Return (gross)	-0.9	-1.6	10.2	10.2	7.1	7.0	8.9
Standard Deviation (%)	—	—	—	12.1	12.3	14.1	15.8
Tracking Error (%)	—	—	—	8.6	7.0	8.1	10.6
Sharpe Ratio	—	—	—	0.8	0.9	0.7	0.6
Information Ratio (arith)	—	—	—	1.2	1.0	0.9	0.8
Beta	—	—	—	0.6	0.9	0.9	0.7
UpMkt Capture Ratio (%)	—	—	—	82	116	102	90
Down Capture Ratio (%)	—	—	—	38	73	63	54

Top 10 Holdings*

	% Port
transcosmos Inc.	5.9%
Pigeon Corporation Unsponsored ADR	4.3%
Unicharm Corporation	3.8%
Cookpad Inc.	3.8%
Minor International Public Co., Ltd.	3.7%
Kakaku.Com, Inc.	3.5%
Shanghai Fosun Pharmaceutical (Group) Co., Ltd. Class H	3.3%
Internet Initiative Japan Inc. Sponsored ADR	3.1%
H.I.S.Co., Ltd.	3.0%
Pola Orbis Holdings Inc.	2.6%

*Tax strategies may have led accounts in the composite to temporarily hold index-tracking ETFs, generally for a period of 30 to 60 days. These ETFs, which are not part of the composite, are not included in the chart above.

Strategy Characteristics*

Number of Positions	31
Avg. Market Cap. (B)	6.6
P/E ⁽¹⁾	12.9
Price/Book ⁽¹⁾	2.3
Dividend Yield	1.2%
Turnover (1 Year) ⁽²⁾	7.5%
Active Share ⁽³⁾	98.7%

⁽¹⁾ Weighted Harmonic Average

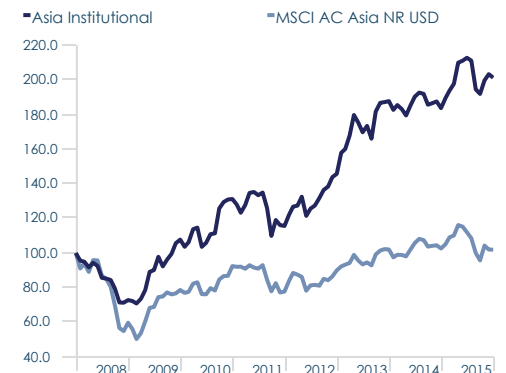
⁽²⁾ Based on Model Portfolio

⁽³⁾ Calculated as of the most recent quarter-end using the MSCI AC Asia Index as a benchmark.

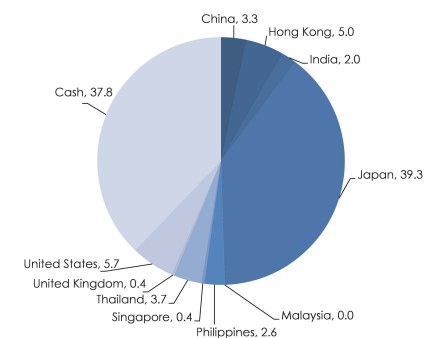
*Tax strategies may have led accounts in the composite to temporarily hold index-tracking ETFs, generally for a period of 30 to 60 days. These ETFs, which are not part of the composite, are not included in these calculations.

Cumulative Growth of \$100 (gross)

Time Period: 1/1/2008 to 12/31/2015



Country Allocation (%)



Asia Opportunity - Institutional Composite

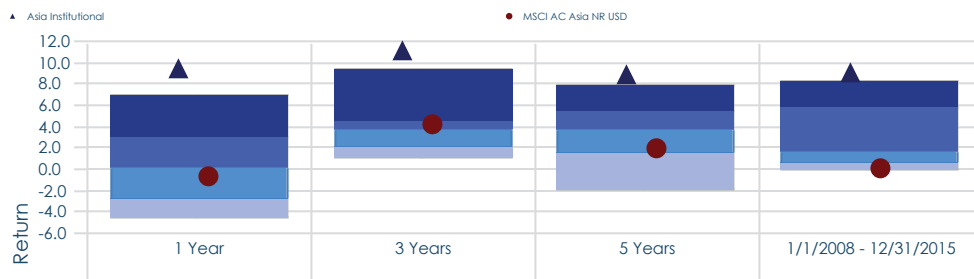
As of 12/31/2015



Performance Relative to Peer Group (gross)

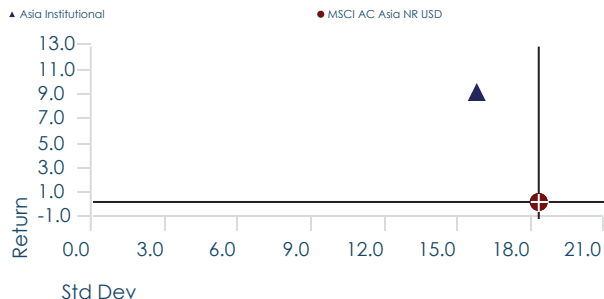
As of Date: 12/31/2015 Peer Group (5-95%): Separate Accounts/CITs - U.S. - Diversified Pacific/Asia

■ Top Quartile ■ 2nd Quartile ■ 3rd Quartile ■ Bottom Quartile



Risk/Reward (gross)

Time Period: 1/1/2008 to 12/31/2015



Monthly Performance (gross)

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD	Index
2015	3.2	2.3	2.0	6.2	0.5	0.8	-0.8	-7.9	-1.4	4.1	1.8	-1.0	9.6	-0.7
2014	-2.7	1.5	-1.2	-2.0	3.2	2.7	1.2	-0.4	-3.3	0.5	0.5	-2.1	-2.2	0.5
2013	8.4	1.4	4.9	7.1	-2.5	-3.1	2.2	-4.3	9.5	2.8	0.2	0.3	28.8	13.4
2012	5.5	4.0	0.5	4.0	-8.4	3.4	1.5	3.3	3.6	1.4	4.0	1.3	26.0	15.8
2011	-2.5	-3.7	3.6	5.5	0.4	-1.4	1.1	-6.7	-12.7	8.3	-2.5	-0.4	-11.9	-15.9
2010	-3.9	2.6	7.0	0.8	-9.7	2.2	4.7	0.4	12.9	2.9	1.1	0.2	21.8	17.6
2009	-0.8	-1.9	3.9	6.8	13.4	1.1	8.5	-5.7	4.2	3.5	6.2	2.0	48.0	31.7
2008	-4.4	-0.7	-3.4	2.9	-1.9	-7.5	-0.5	-0.9	-6.0	-10.1	-0.2	2.1	-27.2	0.2

Source: Morningstar Direct

Definitions: Historical Statistics

- Excess Return is the measurement of a portfolio's return minus the return of the representative index.
- Standard Deviation is a statistical measure of the degree to which an individual value in a probability distribution tends to vary from the mean of the distribution.
- Tracking Error is the standard deviation of a portfolio's return relative to a benchmark.
- Sharpe ratio is a statistical measure that uses standard deviation and excess return to determine reward per unit of risk. A higher Sharpe ratio implies a better historical risk-adjusted performance. Morningstar chooses a risk-free benchmark based on the portfolio's domicile, e.g. the 3-month Treasury bill for portfolios based in the United States.
- Information Ratio is a ratio of portfolio returns above the returns of a benchmark (usually an index) to the volatility of those returns.
- Beta is a measure of the volatility, or systematic risk, of a security or a portfolio in comparison to the market as a whole.
- Up-Market Ratio is the statistical measure of an investment manager's overall performance in up-markets. The ratio is calculated by dividing the manager's returns by the returns of the index during the up-market.
- Down-Market Ratio is the statistical measure of an investment manager's overall performance in down-markets. The ratio is calculated by dividing the average manager's returns by the average returns of the index during the down-market.
- Turnover is the lower of total buys or total sells divided by the average market value of the account. Turnover ratio is calculated by Fiserv APL.
- Active Share is a measure of the percentage of holdings in a portfolio that differ from a benchmark index. It is calculated by taking the sum of the differences of the weight of each holding in the portfolio and the weight of each holding in the benchmark index and dividing by two. Active share is measured against the strategy's primary benchmark.

Important Disclosures

Horizon Asset Management Institutional ("Horizon Institutional" or "the Firm") is defined as the traditional long only separate accounts and private investment fund assets of Horizon Asset Management LLC ("Horizon" or the "Firm"), an SEC-registered investment adviser and a wholly owned subsidiary of Horizon Kinetics LLC. Horizon Institutional excludes separately managed, non-direct accounts and other accounts that either are serviced by wrap/dual contract sponsors or utilize a wrap or bundled fee structure. Horizon Institutional claims compliance with the Global Investment Performance Standards (GIPS®). A GIPS® compliant presentation and/or a list of composite descriptions are available upon request by contacting CSRD@horizonkinetics.com.

The Horizon Asia Opportunity Composite ("Strategy") seeks above market long-term returns by investing primarily in a focused portfolio of common stocks of Asian issuers. Performance is expressed in USD. Past performance does not guarantee future results and the value of the investments and the income derived from them may increase or decrease. Note that indices are unmanaged and the figures shown herein do not reflect any investment management fee or transaction costs. Investors cannot directly invest in an index. References to market or composite indices, benchmarks or other measures of relative market performance (a "Benchmark") over a specific period are provided for your information only. Reference to a Benchmark may not reflect the manner in which a portfolio is constructed in relation to expected or achieved returns, portfolio guidelines, correlation, concentrations, volatility or tracking error targets, all of which are subject to change over time. The Strategy is a total return strategy and the benchmark is provided for illustrative purposes only. It is not our intention to state, indicate or imply in any manner that our future results will be profitable or equal past results.

On February 29th 2012 the benchmark for the Horizon Institutional Asia strategy was changed retroactively from the S&P Asia 50 index to the MSCI All Country Asia Index, as we believe that the regional coverage within the MSCI All Country Asia Index better reflects the universe of the strategy (The MSCI All Country Asia is an equity index drawn from eleven major Asian markets - Japan, Hong Kong, Singapore, Korea, Taiwan, China, Philippines, Malaysia, India, Indonesia, and Thailand.) It is designed for investors seeking broad market exposure through an index that is efficient to replicate. The underlying prices for the MSCI All Country Asia are collected in local currencies and index levels are released in U.S. dollars and calculated on a real-time basis).

Unless otherwise noted, the portfolio characteristics shown above relate to the composite as of the date noted above. Not every client's account will have these exact characteristics. The actual characteristics with respect to any particular client account will vary based on a number of factors including but not limited to: (i) the size of the account; (ii) market prices of individual securities at the time of investment; (iii) and individual client circumstances.) On August 1st 2014, the name of this composite was changed from the Horizon Asia Institutional Composite to the Horizon Asia Opportunity Composite, in order to better reflect the Firm's strategy of investing in companies and regions in which potential, long-term growth opportunities have been identified. The Firm reserves the right to modify its current investment strategies and techniques based on changing market dynamics or client needs. This Strategy may invest in both equity and fixed income securities without regard to market capitalizations or issue size. Horizon does not necessarily fully invest portfolios immediately after an account is funded. There can be no assurance that any securities discussed herein will remain in an account. The securities discussed may not represent an entire account and in the aggregate may represent only a small percentage of an account's holdings.

The following applies to all of the indices used in this document: Indices are presented merely to show general trends in the markets for the period and are not intended to imply that the strategy is benchmarked to the indices either in composition or level of risk. The indices are unmanaged, may or may not be investable, have no expenses and reflect reinvestment of dividends and distributions. Index data is provided for comparative purposes only. A variety of factors may cause an index to be an inaccurate benchmark.

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